MT **Miller Trust Guide**

AR · FREE CHECKLIST

The 9 most common reasons Arkansas Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Arkansas families a month of benefits — each with the Arkansas DHS citation behind it, so you can verify before you file, not after the denial letter arrives.

> **Read this first — the funding-month rule.** A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. Arkansas DHS does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Arkansas private-pay rate — roughly **$7,148–$7,711**. Most families lose a month to this timing gap, not to ineligibility.

The 9 denial traps to check before you file

Every trap below is drawn from Arkansas DHS policy. Verify each against the citation shown before you submit the Medicaid application.

1

A resource (not income) is placed in the trust

Only the applicant's income may fund the Income Trust. Under §H-111, the trust can be funded only from Social Security, pension, and other income; if assets other than income — such as real or personal property — are placed in the trust, the individual cannot be eligible for facility services under the income-trust provisions. Keep resources out of the trust entirely.

Source: DCO-9938; Medical Services Policy Manual §H-111

2

Income and resources are commingled in the account

PUB-396 is emphatic that income and resources cannot be co-mingled in an Income Trust account — only income can be in it. Use a single account dedicated to the trust, separate from the account used for living expenses, and never let a resource sit in it. Mixing the two voids the exemption.

Source: PUB-396; Medical Services Policy Manual §H-111

3

The over-cap income is not deposited in the month it is received

Income above the eligibility limit that the applicant receives directly must be transferred to the trust immediately upon receipt. §H-111 provides that in any month the excess income is not placed in the trust, the individual is not eligible for benefits or vendor payment for that month. Fund the trust every month, on time.

Source: Medical Services Policy Manual §H-111

4

Another person's income is put in the trust

No income belonging to anyone other than the applicant may go into the Income Trust. If income is paid jointly to the applicant and another person, the applicant's share must be separated out before deposit. Depositing a spouse's or child's own income breaks the trust.

Source: Medical Services Policy Manual §H-111

5

Missing State-of-Arkansas payback clause

The trust must contain a provision that all assets remaining at the individual's death are transferred to Arkansas DHS up to the total Medicaid paid after the trust was established. The DCO-9938 form already includes this remainder clause — do not alter or remove it; a missing or edited payback provision fails DHS review.

Source: DCO-9938 (termination article); Medical Services Policy Manual §H-111

6

The trust is revocable, or is modified without DHS agreement

The Income Trust must be irrevocable and can be terminated or amended only by mutual agreement between Arkansas DHS and the trustee. A revocable trust, or unauthorized changes to a trust DHS has already accepted, breaks compliance.

Source: DCO-9938 (irrevocability article); Medical Services Policy Manual §H-111

7

Trying to fix an excess-resource problem with an income trust

An Income Trust solves income over the cap — not resources over the $2,000 limit. §H-112 states that individuals with excess resources cannot establish eligibility through an income trust. If countable resources exceed the limit, they must be addressed separately before eligibility is possible.

Source: Medical Services Policy Manual §H-112

8

A disbursement the caseworker did not authorize

After the case is set up, the trustee may pay out only the amounts specified on the DHS-712 / Notice of Action — the personal needs allowance, authorized spousal or dependent allowances, uncovered medical costs, and the applicant's share of the cost of care. Any disbursement that is not for the benefit of the recipient, spouse, or dependents as authorized is treated as a transfer of resources and may trigger a penalty period.

Source: Medical Services Policy Manual §H-111

9

The trust balance is allowed to accumulate past the limit

If the trust balance at the end of a month (excluding next-month income and authorized-but-undistributed allowances) exceeds the current transfer-of-resources divisor, the individual loses facility-payment eligibility until the balance is spent down for the resident's benefit. Distribute the authorized amounts each month and ask the caseworker for the current maximum balance.

Source: Medical Services Policy Manual §H-113

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Arkansas Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of $2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if Arkansas DHS rejects the trust for a reason traceable to following the kit, you get a full refund.

Verify the sources yourself

- Official Arkansas DHS template — Arkansas Medical Services Policy Manual, Section H — Long-Term Services and Supports, §H-110 through §H-116 (Income Trusts) and §H-400 / §H-410 (Post-Eligibility); codified at Arkansas Administrative Code rule 016.28.22-004; federal authority 42 U.S.C. § 1396p(d)(4)(B) / § 1917(d) of the Social Security Act
- Arkansas DHS policy manual — Arkansas Department of Human Services

— James Whitfield, Miller Trust Guide · millertrustguide.com